

Regional banks query split dollar payments routed through intermediary accounts

By Londiwe Buthelezi | 18 September 2023

SADC Banking Compliance Forum said several South African banks had been asked to review a small number of cross-border payments after a correspondent bank raised questions about split USD transfers routed through two intermediary banks before reaching a common beneficiary.

People familiar with the review said names including Nyawokhulu Inc, Nyawokhulu Inc and Gxabhashe PLC appeared in internal case notes shared with participating institutions. The concern is not that every payment is fraudulent, but that the payment trail needs to be matched against SWIFT instructions, beneficiary amendments and nostro settlement records.

One payments compliance specialist said banks were increasingly expected to connect trade, sanctions, reconciliation and customer-account data before deciding whether to file a suspicious-transaction report. "The alert often starts outside the bank, but the evidence sits inside operations data," the person said.

The matter is expected to prompt internal analytics teams to prepare exception views across MT103 messages, intermediary-bank routing, beneficiary history and delayed correspondent confirmations.